

stocks decline in price; the period of business decline, during which stocks drag on the bottom; the period of business depression, when the insiders are accumulating and stocks are increasing in price; and the period of business improvement, at the last end of which stocks reach abnormally high prices. Moreover, by a systematic and thorough study of both business and investment conditions, with their relations to each other, it should be possible to tell with exactness in which of these four periods we are at any given time, and to estimate fairly closely when a change may be expected.

Since it is thus possible to anticipate these long swings, referred to as the third movement, those with money and the courage of their convictions are enabled to make large fortunes. Moreover, unlike almost any other form of speculation, such men as do take advantage of these movements are performing a distinct service to their country by helping to steady conditions. In fact, every additional investor who henceforth endeavors to profit by these long swings causes the future periods of depression to be less severe and the future periods of prosperity to be less reckless.

In view of the above, two statements should be self-evident. The first one is this: There is no sure way of making money in day-to-day speculation, such as is indulged in by the ordinary trader. Ninety-eight per cent of such traders come to grief, losing not only their money, but also their health, reputation, and what is worst of all, their courage and self-respect. The game is absolutely "rigged" against them, as the powers that be own all the paraphernalia and apparatus, and are subject to no laws or regulations. At Monte Carlo one plays simply against luck, and with the exception of about two and a half per cent in favor of the bank, the player has an equal chance with the bank to win, which is not true when he is playing against Wall Street. Not only are the commissions against the speculator—so that if he should win one-half of the time he would still be out his commissions—but almost everything is "rigged" to beat him.